

Crypto Momentum Is Explained by Size: Shorting Pumped Small Caps

Scott Phillips (@ScottPh77711570) — X thread, 27 August 2026

<https://x.com/ScottPh77711570/status/2092945468410274091>

Quoted post — as required. (@0xasrequired):

my @variational_io strategy is just to toggle 24h change descending and short any shitcoin i've never heard of that has pumped >50% and go really hard when you see one like \$BTR0 up >300% (funding somehow +ve too lol)

--> you print green pnl while farming \$VAR

the occasional [...]

1/10

One of the strongest edges in crypto is that momentum effects are explainable by size

This means that trend "works better on big coins"

How can you, the retarded retail click tradoor, profit from this?

2/10

The obvious kwant way is to turn this into a signal and take a big list of coins and go long half and short half

That way you would, in theory, not be taking much of a bet on whether the overall market goes up or down

But that's not much help to you, the retard

3/10

The implication of momentum working better on big coins is that it works WORSE on small coins

The smallest 10% of coins listed on binance (or anywhere) whether you measure it by marketcap or average volume or whatever will display negative momentum effects

4/10

This means that after a really trashy coin has gone up a lot, that is predictive of a future price DROP

I think that's something we all intuitively grasp and practically experience

Why would this edge persist?

5/10

There's a bunch of cheesy behavioural reasons why this might be so, but the truth is that most shitcoins are in fact, shit investments

And most shitcoin promoters are looking to exit on a pump

As fewer and fewer coins survive multi cycle this becomes more and more true

6/10

The reasons this PERSISTS despite being widely known is two things

1. You can't get much size on, so big firms can't be fucked
2. If you DO try and get too much size on, you can get short squeezed. This happens all the time, so the short squeeze risk is what you get paid for

7/10

If you want to build a system around this you might look at something exactly like the OP has done here

Shorting obscure shitcoins after a pump is a strong edge

But short squeezes can be brutal

You negate this somewhat in two ways

8/10

You will be tempted to try and mitigate the risk of short squeezes by trying to quantify how and when short squeezes happen and skip the bad trades and only take the good ones

This is very bad thinking

No good comes of trading systems like this

9/10

Trying to separate the risk from the return angers the market Gods

This is known

Instead you should

1) Have some balls

2) Trade multiple of these plays at a time, that way any individual loss doesn't hurt you too much

10/10

You **could** do what this guy did, choose coins based on vibes

Or you could ask ChatGPT to find coins meeting that criteria

Or you could just do it properly, which is to find the smallest coins which have made very large moves in the last day

closing post

I'm done for the day, but I'll pick this up tomorrow and offer some suggestions for how you might manage and exit these types of trades, both as a manual and a systematic tradoor

5. A third party backtests it — dima (@dima_quant), 29 August 2026

https://x.com/dima_quant/status/2093452753238696280

this is a backtest of something like Scott mentioned:

- Short Binance's bottom 30% market-cap coins after a $\geq 3\sigma$ daily pump.
- Enter next UTC open; max five positions at 20% each.
- Stop at the pump-day seven-day high.

- Take profit at 2R.
- Exit after three days without another signal.

Quoting Scott Phillips (@ScottPh77711570), 28 August 2026 —
<https://x.com/ScottPh77711570/status/2093272721472004387>

In my own system I use something a little more sophisticated, but you could use something like "Coins which have made a 3 standard deviation move in the last N days"

You shouldn't try to optimize whatever you base your rule on at all, that is canonical overfitting

/5

Attached chart — "Binance Bottom-30 Pump Reversal — 2R Take-Profit". Header statistics: Total +36.4% | CAGR 28.6% | Sharpe 1.36 | Max DD -15.4% | 124 trades. Cumulative return panel runs from 2025-01 to 2026-03, ending at 1.364x; drawdown panel bottoms at -15.4% around 2025-10. Chart footnote: "Net of 15 bps each side and observed funding • No minimum ADV floor".

Replies:

- @friendscallmeap: "I think you might be better off capping individual names size rather than a number of positions"
- @dima_quant: "I mean this is just a quick sample idea - there are many ways to optimise it better I'm certain. more of a proof of concept"
- @Versace_Trader: "Does this account for funding?" → @dima_quant: "yes and 15bps fees"
- @lo2cin4: "The bear regime might also affect the result"
- @nagakingg: "Enormous risk for 30% IMO"